

Fearnleys Dry Bulk Weekly

Jan 8, 2025

Bernhard Baardson



Capesize/Newcastlemax

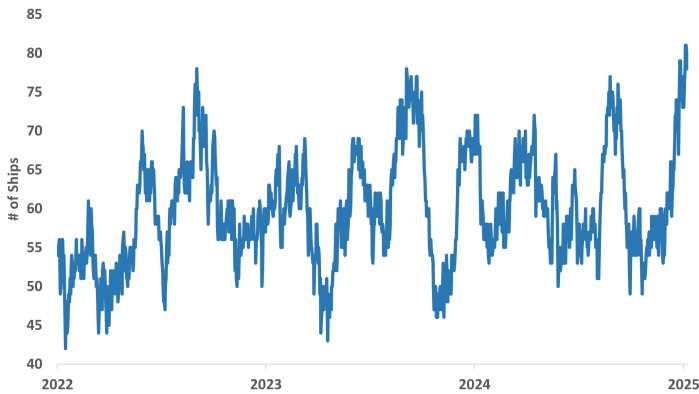
Last year ended on a weak note which usually means January ends up being even weaker. So far that seems to be the case.

However, there are several pointers toward a rebound starting around the middle of February.

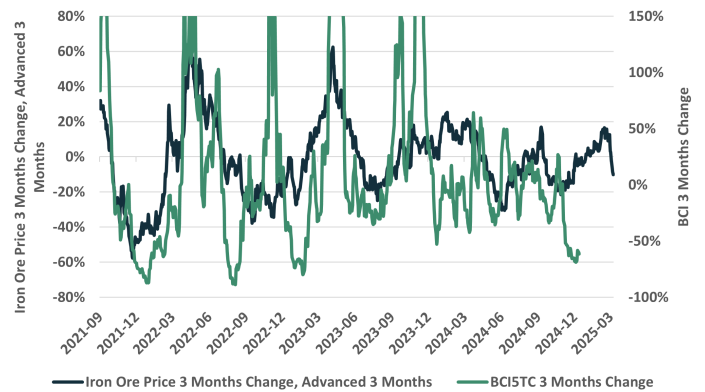
There is currently a record number of VLOCs sailing toward Brazil, which is a good indication that a Capesize rally will materialize. The previous four times the count was similar to now were in late August last year, early September 2023, and late August 2022. However, most of the vessels are still positioned in the Pacific or Indian Ocean, so it will take time before the vessels have loaded and freed up space for Capes.

Further, the iron ore price leads shown below indicate a firming market from late Feb and through March.

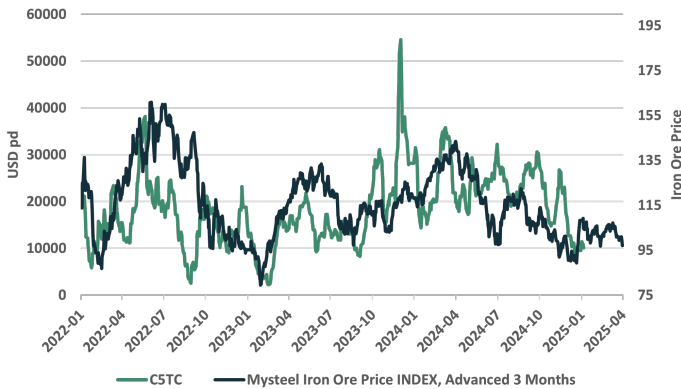
VLOCs Sailing to Brazil



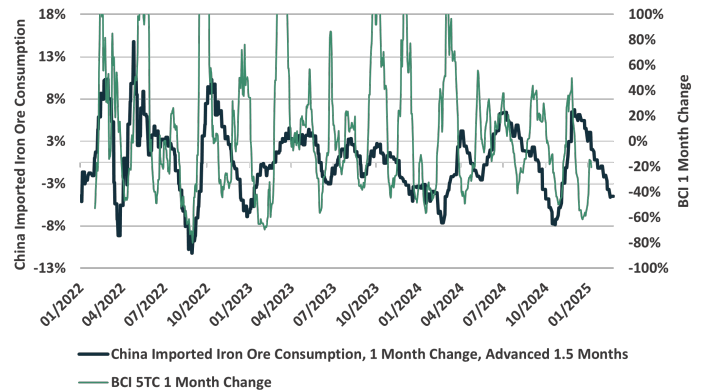
Iron Ore Price 3 Months Change (Lead 3 Months) vs BCI5TC 3 Months Change



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change

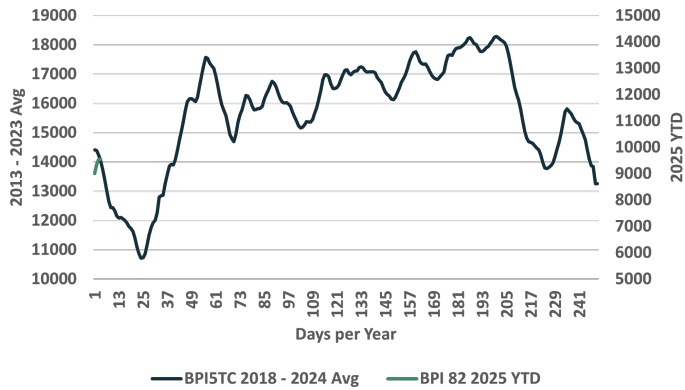


Panamax/Kamsarmax

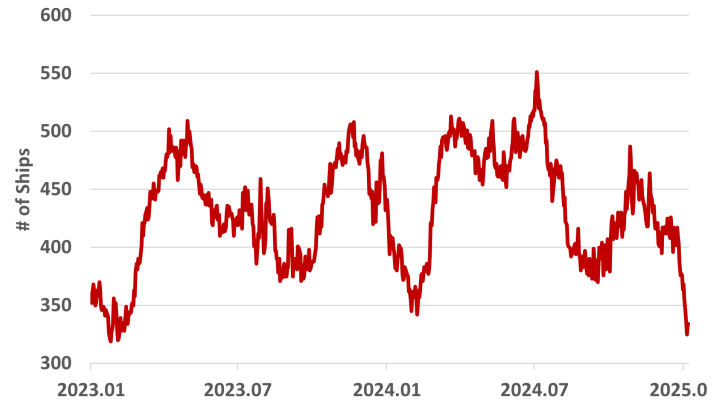
The market has started the year on a very weak note in the Pacific. The P3A index was lower than now only during the first half of 2020, since the index's inception in 2018. We do not see any imminent signs of improvement there, as the tonnage list keeps creeping up, and as China will be slow until after their New Year celebrations.

As a result of the weakness in the Pacific, and the upcoming Brazilian Soybean export season, the count of vessels sailing toward Brazil is increasing rapidly. This is the start of what will likely be a spot market upturn in February.

Panamax / Kamsarmax Market Seasonality



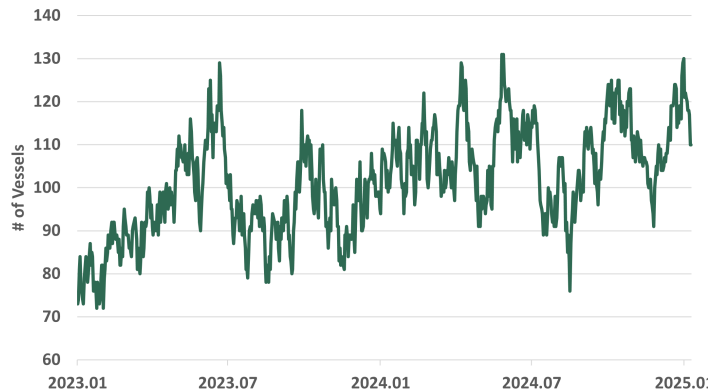
Panamax / Kamsarmax Laden, Heading to China



Panamax / Kamsarmax Ballasting to Brazil or Argentina



Panamax / Kamsarmax Laden, Heading to India



Supramax/Ultramax

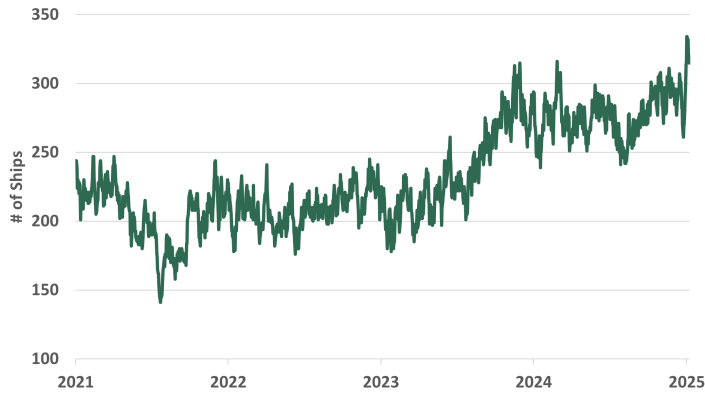
In our previous weekly report from 19th December last year, we wrote the following:

Since 2018, the BSI-58 index has averaged 23% lower in January than in December, on average.

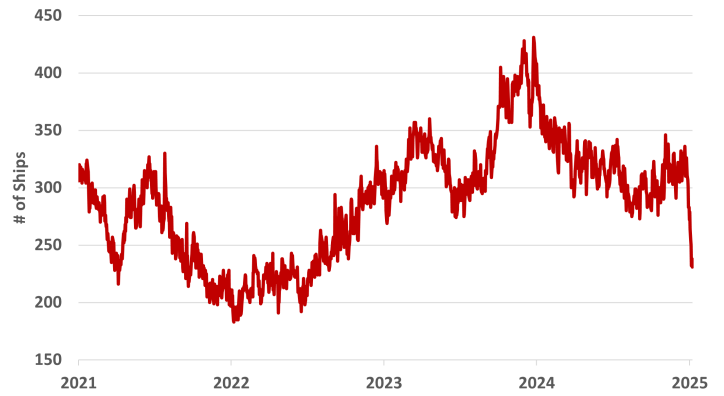
That implies the Ultramax index could average below 10.000 USD pd in January. Given recent developments in industrial metals prices and the high inventories of coal in China, this does not seem unlikely.

The January average is so far higher than 10.000 USD pd, but the market is likely to go down more as both basins remains weak. The seasonal bottom is usually around the middle of February.

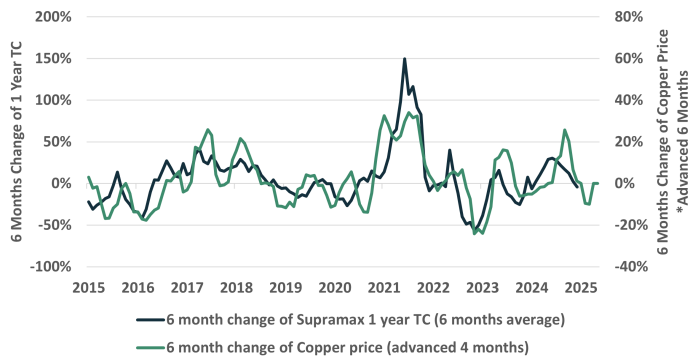
Supramax / Ultramax Heading to India or South East Asia



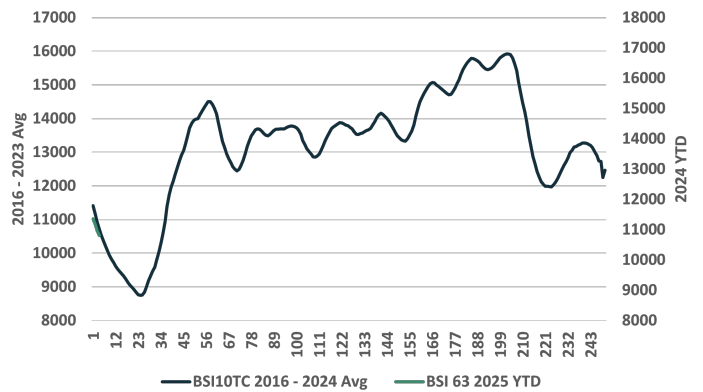
Supramax / Ultramax Laden to China



Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average





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